

Largan Precision

Upgrade to Buy: compelling CPO-driven valuation and earnings upcycle from 2028E

Rating Change: BUY | PO: 5,600 TWD | Price: 4,345 TWD

Upgrade to Buy: Stronger long-term upside from CPO

We upgrade Largan to Buy from Neutral on strong revenue/earnings upside from 2028E, led by its potential share gain at FA/FAU for CPO switches. We raise Largan's 2026-28E earnings by 1-13%, and lift our PO to NT\$5,600 (25x 2028E P/E) from NT\$2,900 (16x 2H26-1H27E P/E). We use 2028E to capture CPO's volume take-off, and our 25x target multiple is at its historical peak P/E, matches with last round's earnings upcycle. Given CPO is still at an early stage while optical interconnect is a long-term upcycle, we note the market is willing to look beyond 2028. Thus, we use SOTP for a sanity check on CPO's value into 2030, and derive a value of NT\$5,641 per share by applying 30x P/E on CPO business (base case: 30% share at FA in Exhibit 9 and Exhibit 4).

CPO to drive 5-10% EPS upside in 2028E, 60%+ in 2030E

We are more confident on Largan entering Nvidia's CPO supply chain. According to mgmt., Largan is engaging with more than one customer, progressing through certification (coming months), and capacity expansion (pilot line by 3Q26-end). Although Largan has no track record in datacom, we see edge is in high-precision optic alignment via automation and its partnership with CPO ecosystem (see [FAU sector report](#)). Our analysis shows 2028E EPS could see 5-10% upside vs 2026E from FA, assuming 20-30% share and 30-40% net margin (Exhibit 7). Into 2030E, under a bear/base/bull case analysis, earnings could expand by 24%/63%/184% vs 2028E, respectively (Exhibit 9).

Resilient smartphone business with iPhone spec upgrade

Although the overall smartphone supply chain is under pressure amid memory price hikes, we view Largan as more resilient on iPhone's multi-year spec upgrade cycle and its leading position. We expect variable aperture on the Pro series to drive 30-50% main camera ASP upside in 2H26, while Largan should continue to benefit from rising MP or higher lens count in main/periscope cam into 2027-28.

Estimates (Dec) (NT\$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	25,915	21,275	25,049	26,929	30,226
EPS	191.2	156.9	184.8	198.6	223.0
EPS Change (YoY)	44.8%	-17.9%	17.7%	7.5%	12.2%
Consensus EPS (Visible Alpha)			186.93	205.34	220.05
Dividend / Share	97.5	80.0	94.2	101.3	113.7
Free Cash Flow / Share	153.2	103.0	179.2	214.4	244.6
Valuation (Dec)					
P/E	22.7x	27.7x	23.5x	21.9x	19.5x
Dividend Yield	2.2%	1.8%	2.2%	2.3%	2.6%
EV / EBITDA*	14.7x	14.2x	13.0x	11.7x	10.5x
Free Cash Flow Yield*	3.5%	2.3%	4.1%	4.9%	5.5%

* For full definitions of *IQmethod*SM measures, see page 10.

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Refer to important disclosures on page 11 to 13. Analyst Certification on page 8. Price Objective Basis/Risk on page 8.

12993351

14 July 2026

Equity

Key Changes

(NT\$)	Previous	Current
Inv. Opinion	B-2-7	B-1-7
Inv. Rating	NEUTRAL	BUY
Price Obj.	2,900.00	5,600.00
2026E Rev (m)	64,699.9	67,599.2
2027E Rev (m)	67,560.1	73,749.0
2028E Rev (m)	68,798.3	79,192.9
2026E EPS	183.80	184.77
2027E EPS	194.32	198.64
2028E EPS	196.54	222.96

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Stock Data

Price	4,345 TWD
Price Objective	5,600 TWD
Date Established	14-Jul-2026
Investment Opinion	B-1-7
52-Week Range	2,020 TWD-5,360 TWD
Mrkt Val / Shares Out (mn)	18,308 USD / 135.6
Market Value (mn)	589,039 TWD
Average Daily Value (mn)	374.45 USD
Free Float	58.1%
BofA Ticker / Exchange	LGANF / TAI
Bloomberg / Reuters	3008 TT / 3008.TW
ROE (2026E)	12.6%
Net Dbt to Eqty (Dec-2025A)	-68.8%

For acronyms, please refer to Exhibit 11

iQprofileSM Largan Precision

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT\$ Millions)					
Sales	59,458	61,148	67,599	73,749	79,193
Gross Profit	31,209	30,837	33,434	36,862	41,180
Sell General & Admin Expense	(1,930)	(1,985)	(2,050)	(2,185)	(2,304)
Operating Profit	24,033	23,558	25,663	28,646	32,563
Net Interest & Other Income	8,142	2,342	4,426	3,998	3,998
Associates	NA	NA	NA	NA	NA
Pretax Income	32,174	25,900	30,088	32,644	36,561
Tax (expense) / Benefit	(5,963)	(4,340)	(4,829)	(5,504)	(6,124)
Net Income (Adjusted)	25,915	21,275	25,049	26,929	30,226
Average Fully Diluted Shares Outstanding	136	136	136	136	136

Key Cash Flow Statement Data

Net Income	25,915	21,275	25,049	26,929	30,226
Depreciation & Amortization	6,230	7,732	8,577	9,217	9,697
Change in Working Capital	(943)	(1,208)	(1,709)	(1,534)	(1,270)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	376	(1,719)	0	0	0
Cash Flow from Operations	31,579	26,080	31,916	34,612	38,653
Capital Expenditure	(11,126)	(12,338)	(8,000)	(6,000)	(6,000)
(Acquisition) / Disposal of Investments	(7,374)	(1,704)	0	0	0
Other Cash Inflow / (Outflow)	2,434	4,805	0	0	0
Cash Flow from Investing	(16,066)	(9,236)	(8,000)	(6,000)	(6,000)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(10,811)	(11,412)	(10,677)	(12,577)	(13,521)
Cash Flow from Financing	(10,764)	(13,458)	(10,677)	(12,650)	(13,524)
Free Cash Flow	20,453	13,743	23,916	28,612	32,653
Net Debt	(123,416)	(131,295)	(144,534)	(160,568)	(179,700)
Change in Net Debt	(5,956)	(2,496)	(13,239)	(15,963)	(19,132)

Key Balance Sheet Data

Property, Plant & Equipment	46,936	51,472	51,117	48,121	44,646
Other Non-Current Assets	23,827	15,029	14,808	14,586	14,365
Trade Receivables	10,360	10,462	14,816	16,164	17,357
Cash & Equivalents	123,620	131,295	144,534	160,568	179,700
Other Current Assets	11,784	12,529	11,432	11,879	12,064
Total Assets	216,527	220,787	236,706	251,319	268,132
Long-Term Debt	0	0	0	0	0
Other Non-Current Liabilities	561	171	171	171	171
Short-Term Debt	203	0	0	0	0
Other Current Liabilities	30,375	29,749	31,297	31,558	31,666
Total Liabilities	31,139	29,919	31,467	31,728	31,836
Total Equity	185,388	190,868	205,239	219,591	236,296
Total Equity & Liabilities	216,527	220,787	236,706	251,319	268,132

iQmethodSM - Bus Performance*

Return On Capital Employed	13.2%	12.3%	12.6%	12.8%	13.3%
Return On Equity	14.8%	11.3%	12.6%	12.7%	13.3%
Operating Margin	40.4%	38.5%	38.0%	38.8%	41.1%
EBITDA Margin	50.9%	51.2%	50.7%	51.3%	53.4%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	1.2x	1.2x	1.3x	1.3x	1.3x
Asset Replacement Ratio	1.8x	1.6x	0.9x	0.7x	0.6x
Tax Rate (Reported)	18.5%	16.8%	16.0%	16.9%	16.8%
Net Debt-to-Equity Ratio	-66.6%	-68.8%	-70.4%	-73.1%	-76.0%
Interest Cover	NM	NM	NM	NM	NM

Key Metrics

* For full definitions of iQmethodSM measures, see page 10.

Company Sector

Industrials/Multi-Industry

Company Description

Largan, established in 1987, is based in Tai Chung, Taiwan. The company is Taiwan's leading optical lens manufacturer for digital imaging products. These include digital cameras, mobile phone cameras, projectors, and MFPs.

Investment Rationale

We have a Buy rating on Largan, eyeing rising visibility on potential CPO project gains. We believe CPO will drive a valuation re-rating and potential earning upside from 2028E. Besides, legacy business should stay resilient thanks to iPhone's multi-year spec upgrade cycle.

Stock Data

Price to Book Value

2.9x



Upgrade to Buy: stronger long-term upside from CPO

We upgrade Largan to Buy from Neutral on strong revenue/earnings upside from 2028E, led by its potential share gain at FA/FAU for CPO switches. Meanwhile, the legacy business should remain resilient, thanks to iPhone's multi-year camera upgrade cycle. We raise Largan's 2026-28E earnings by 1-13% to reflect potential upside from CPO and a solid Apple business.

We lift our PO to NT\$5,600 (25x 2028E P/E) from NT\$2,900 (16x 2H26-1H27E P/E). We use 2028E to capture CPO's volume take-off, and our 25x target multiple is at its historical peak P/E, matching last round's earnings upcycle.

We note the market is confident that optical interconnect will be a long-term upcycle, and we believe investors tend to be willing to look beyond 2028 to see the long-term upside potential from CPO. If CPO switches can reach a certain scale into 2028-30E, our analysis shows a stronger earnings upcycle for Largan vs the smartphone camera upcycle in 2016-18. Thus, emerging CPO/FAU suppliers in Greater China tend to trade at a high P/E of 29x 2028E on average. We also use SOTP valuation for a sanity check on CPO's long-term value, and we derive a value per share of NT\$5,641 by applying 30x 2030E P/E on CPO business (base case: 30% share at FA).

Exhibit 1: We lift 2026-28E earnings estimates by 1-13%

Earnings estimate changes, 2026-28E

(NT\$m)	2026E			2027E			2028E		
	New	Old	Diff (%)	New	Old	Diff (%)	New	Old	Diff (%)
Total sales	67,599	64,700	4.5	73,749	67,560	9.2	79,193	68,798	15.1
Gross Profit	33,434	32,878	1.7	36,862	35,211	4.7	41,180	35,748	15.2
Gross margin	49.5%	50.8%	-1.4	50.0%	52.1%	-2.1	52.0%	52.0%	0.0
Operating income	25,663	25,468	0.8	28,646	27,646	3.6	32,563	27,997	16.3
Operating margin	38.0%	39.4%	-1.4	38.8%	40.9%	-2.1	41.1%	40.7%	0.4
Pretax income	30,088	29,943	0.5	32,644	31,645	3.2	36,561	31,995	14.3
Pretax margin	44.5%	46.3%	-1.8	44.3%	46.8%	-2.6	46.2%	46.5%	-0.3
Net income	25,049	24,917	0.5	26,929	26,343	2.2	30,226	26,645	13.4
Net margin	37.1%	38.5%	-1.5	36.5%	39.0%	-2.5	38.2%	38.7%	-0.6
EPS (NT\$)	184.8	183.8	0.5	198.6	194.3	2.2	223.0	196.5	13.4

Source: BofA Global Research estimates

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Exhibit 2: Our 2026-28E earnings are largely in line with consensus

BofAe vs. consensus, 2026-28E

(NT\$m)	2026E			2027E			2028E		
	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)
Total sales	67,599	66,318	1.9	73,749	71,653	2.9	79,193	79,957	-1.0
Gross profit	33,434	33,427	0.0	36,862	37,120	-0.7	41,180	42,145	-2.3
Gross margin	49.5%	50.4%	-0.9	50.0%	51.8%	-1.8	52.0%	52.7%	-0.7
Operating profit	25,663	25,814	-0.6	28,646	28,962	-1.1	32,563	32,687	-0.4
Operating margin	38.0%	38.9%	-1.0	38.8%	40.4%	-1.6	41.1%	40.9%	0.2
Pretax income	30,088	30,414	-1.1	32,644	33,574	-2.8	36,561	37,731	-3.1
Pretax margin	44.5%	45.9%	-1.4	44.3%	46.9%	-2.6	46.2%	47.2%	-1.0
Net income	25,049	24,811	1.0	26,929	27,102	-0.6	30,226	30,219	0.0
Net margin	37.1%	37.4%	-0.4	36.5%	37.8%	-1.3	38.2%	37.8%	0.4
EPS (NT\$)	184.8	183.0	1.0	198.6	199.9	-0.6	223.0	222.9	0.0

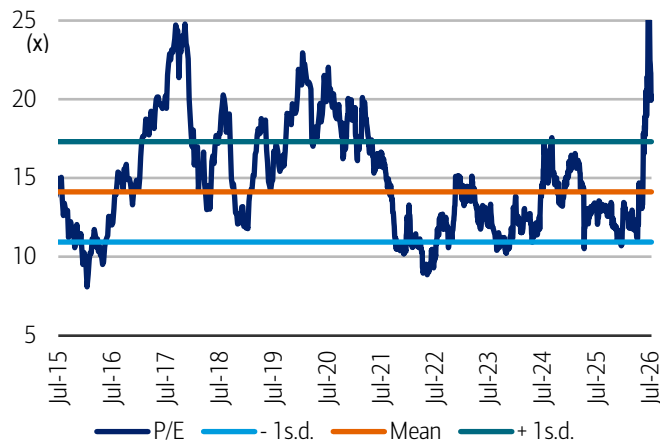
Source: BofA Global Research estimates, Bloomberg consensus

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Exhibit 3: The stock trades at 20x 1-year forward P/E, above +1SD

Largan's 1-year forward P/E with -1/+1 standard deviation



Source: BofA Global Research

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Exhibit 4: We drive a value per share of NT\$5,641 by applying 30x P/E on CPO business' EPS in 2030

SOTP valuation for sanity check of CPO's long-term contribution

SOTP sanity check

Legacy business		2026E
EPS		185
P/E		13
Value per share		2,402
CPO		2030E
EPS		140
P/E		30
Value per share		4,210
Value per share discount back to 2028E		3,239
Total value per share		5,641
Implied P/E on 2028E EPS		25

Source: BofA Global Research estimates; Note: apply 14% cost of equity for CPO business when discounting back to 2028E, and 14% is at Largan's historical median cost of equity

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Exhibit 5: CPO supply chain is trading at 28x P/E on 2028E EPS

Valuation comparison

Ticker	Company	Share price (LC)	Mkt cap (US\$m)	EPS (LC)			EPS CAGR 26-28E	P/E (X)			PEG 27E/26-28E EPS	P/B (X)		Div. yield (%)		ROE (%)		EV/EBITDA	
				26E	27E	28E		26E	27E	28E		26E	27E	26E	27E	26E	27E	26E	27E
3008 TT	Largan	4,345	18,007	188	202	226	10%	23.1	21.5	19.2	2.2	2.8	2.6	2.2	2.3	12.9	12.9	13.0	11.7
Smartphone optic supply chain																			
3406 TT	Genius	609	2,132	32.1	32.9	31.9	0%	19.0	18.5	19.1	-71.8	2.4	2.3	2.5	2.5	13.2	12.6	7.5	7.5
2382 HK	Sunny Optical	55.1	7,576	3.52	4.27	4.84	17%	13.5	11.2	9.8	0.6	1.6	1.4	1.5	1.8	12.4	13.6	8.4	7.5
2018 HK	AAC	38.2	5,683	2.35	2.76	n.a.	n.m.	14.1	12.0	n.a.	n.m.	1.5	1.3	1.1	1.3	10.9	11.7	6.5	5.7
Average							9%	15.5	13.9	14.5	-35.6	1.8	1.7	1.7	1.9	12.2	12.6	7.5	6.9
CPO supply chain																			
3363 TT	FOCI	608	2,111	0.22	17.1	48.9	1407%	2772	34.9	12.2	0.0	27.0	15.9	0.1	0.2	-1.8	55.0	n.a	n.a
3163 TT	Browave	746	1,867	7.57	13.8	19.8	62%	98.3	53.7	37.7	0.9	18.9	n.a	0.5	0.8	19.1	35.4	n.a	n.a
LITE US	Lumentum	802	62,396	8.41	18.7	28.0	82%	82.5	37.2	24.8	0.5	15.2	10.0	0.0	0.0	33.7	43.7	52.5	23.5
GLW US	Corning Inc.	191	163,977	3.30	5.00	6.50	40%	57.8	38.2	29.4	0.9	12.3	10.1	0.6	0.6	22.9	29.5	31.6	23.4
Average							328%	618	43.3	28.2	0.7	21.6	15.3	0.3	0.5	24.3	43.2	49.6	29.1

Source: BofA Global Research estimates, Bloomberg consensus for uncovered companies

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CPO-driven earnings upcycle from 2028E

We are more confident on Largan entering Nvidia's CPO supply chain, given more concrete project engagement. According to mgmt., Largan is engaging with more than one customer, progressing through certification (coming months), and capacity expansion (pilot line by 3Q26-end). Despite its limited track record in datacom, we see Largan's edge in its high-precision alignment via automation, which are the two key bottlenecks faced by the supply chain.

We note that earnings contribution should be limited in 2026-27E as CPO should see volume expansion only from 2028-29E. However, once it reaches a good scale, CPO could drive a compelling earnings upcycle for Largan, even stronger than the smartphone camera upgrade cycle in 2016-18. Based on our in-house estimates, Nvidia CPO switches are likely to see 14k/52k/190k units of shipment in 2026/27/28E. Our analysis shows that, if Largan only supplies FA, EPS in 2028E could see 5-10% upside vs the 2026E level, assuming 20-30% share and 30-40% net margin. If Largan is able to expand its offering to FAU with its own PMLA, EPS in 2028E could see 12-23% upside vs 2026E level, assuming 20-30% share and 40-50% net margin.

We highlight that investors tend to believe optical interconnection is a multi-year upcycle, with technology eventually migrating to NPO/CPO/OIO in the longer term. Thus,



we believe the market is willing to look beyond 2028 to capture the potential contribution. Thus, we conduct a bear/base/bull case analysis for earnings upside potential into 2030E:

- Base case: Largan still supplies FA with 30% market share, ASP is at US\$30 (for 1.6T equivalent OE), and net margin is around 40%. Under this scenario, earnings could see another 63% upside vs 2028E.
- Bear case: Largan still supplies FA but market share is relatively low at 15%, ASP is at the same level as our base case and net margin is lower at 30% due to smaller scale. Under this scenario, earnings could see 24% upside vs 2028E.
- Bull case: Largan expands its offering to FAU with its in-house PMLA and ASP expands to US\$60. If Largan is able to hold a strong market share at 35% and a solid net margin of 50% (large scale, good yield), earnings could expand by 184% vs 2028E.

Exhibit 6: Revenue in 2028E could see 6-9% upside (vs 2026E) from FA, assuming 20-30% share

Scenario analysis on revenue upside from FA and FAU, 2028E vs 2026E

Assumption: 190k units of Nvidia CPO switch in 2028

Revenue upside, 2028E vs 2026E		Market share				
		10%	20%	30%	40%	50%
FA	\$45	3%	6%	9%	13%	16%
FAU (+PMLA)	\$80	6%	11%	17%	22%	28%

Source: BofA Global Research estimates

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Exhibit 7: EPS in 2028E could see 5-10% upside (vs 2026E) from FA, assuming 20-30% share and 30-40% net margin

Scenario analysis on EPS upside from FA, 2028E vs 2026E

Assumption: (1) 190k units of Nvidia CPO switch in 2028, (2) US\$45 ASP (for 1.6T equivalent OE)

EPS upside from FA, 2028E vs 2026E		Market share				
		10%	20%	30%	40%	50%
Net margin	30%	3%	5%	8%	10%	13%
	35%	3%	6%	9%	12%	15%
	40%	3%	7%	10%	14%	17%

Source: BofA Global Research estimates

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Exhibit 8: EPS in 2028E could see 12-23% upside (vs 2026E) from FAU, assuming 20-30% share and 40-50% net margin

Scenario analysis on EPS upside from FAU (include in-house PMLA), 2028E vs 2026E

Assumption: (1) 190k units of Nvidia CPO switch in 2028, (2) US\$80 ASP (for 1.6T equivalent OE)

EPS upside from FAU, 2028E vs 2026E		Market share				
		10%	20%	30%	40%	50%
Net margin	40%	6%	12%	18%	25%	31%
	45%	7%	14%	21%	28%	35%
	50%	8%	15%	23%	31%	38%

Source: BofA Global Research estimates

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Exhibit 9: Into 2030E, our base case shows Largan could see another 63% earnings expansion vs 2028E

Long-term Bull/Base/Bear case analysis on CPO business (2030E)

Assumption: 1.4mn units of Nvidia CPO switch in 2030

	Bear	Base	Bull
Offering	FA	FA	FAU with own PMLA
Market share	15%	30%	35%



Exhibit 9: Into 2030E, our base case shows Largan could see another 63% earnings expansion vs 2028E

Long-term Bull/Base/Bear case analysis on CPO business (2030E)

Assumption: 1.4mn units of Nvidia CPO switch in 2030

	Bear	Base	Bull
ASP for 1.6T equivalent OE (USD)	30	30	60
Revenue (NT\$m)	23,779	47,558	110,969
Revenue upside vs 2028E	30%	60%	140%
Net margin	30%	40%	50%
Net income (NT\$m)	7,134	19,023	55,484
EPS (NT\$)	53	140	409
Net income upside vs 2028E	24%	63%	184%

Source: BofA Global Research estimates

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Exhibit 10: We model 10% earnings CAGR in 2025-28E

Largan's quarterly income statement, 2025-28E

NT\$m	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26P	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Sales	14,579	11,673	17,677	17,219	15,544	13,665	19,266	19,125	16,962	14,381	21,092	21,313	61,148	67,599	73,749	79,193
COGS	6,615	5,413	9,325	8,958	7,865	6,913	9,826	9,562	8,515	7,277	10,652	10,444	30,311	34,165	36,887	38,013
Gross profit	7,965	6,260	8,352	8,260	7,680	6,752	9,440	9,562	8,447	7,104	10,441	10,870	30,837	33,434	36,862	41,180
Operating expenses	1,878	1,381	2,088	1,932	1,867	1,604	2,216	2,085	1,968	1,711	2,278	2,259	7,279	7,771	8,216	8,617
SG&A	530	395	549	512	466	451	578	555	509	489	591	597	1,985	2,050	2,185	2,304
R&D	1,348	986	1,539	1,420	1,401	1,153	1,638	1,530	1,459	1,222	1,687	1,662	5,293	5,722	6,031	6,313
Operating profit	6,086	4,879	6,265	6,329	5,812	5,148	7,225	7,478	6,480	5,393	8,163	8,611	23,558	25,663	28,646	32,563
Pretax income	7,716	1,794	8,155	8,236	7,288	6,099	8,224	8,477	7,479	6,392	9,162	9,610	25,900	30,088	32,644	36,561
Net income	6,443	1,032	7,080	6,720	6,123	4,670	7,102	7,153	6,305	4,869	7,735	8,020	21,275	25,049	26,929	30,226
EPS (NT\$)	47.5	7.6	52.2	49.6	45.2	34.4	52.4	52.8	46.5	35.9	57.1	59.2	156.9	184.8	198.6	223.0
Margin																
Gross margin	54.6%	53.6%	47.2%	48.0%	49.4%	49.4%	49.0%	50.0%	49.8%	49.4%	49.5%	51.0%	50.4%	49.5%	50.0%	52.0%
Operating margin	41.7%	41.8%	35.4%	36.8%	37.4%	37.7%	37.5%	39.1%	38.2%	37.5%	38.7%	40.4%	38.5%	38.0%	38.8%	41.1%
Pretax margin	52.9%	15.4%	46.1%	47.8%	46.9%	44.6%	42.7%	44.3%	44.1%	44.5%	43.4%	45.1%	42.4%	44.5%	44.3%	46.2%
Net margin	44.2%	8.8%	40.1%	39.0%	39.4%	34.2%	36.9%	37.4%	37.2%	33.9%	36.7%	37.6%	34.8%	37.1%	36.5%	38.2%
QoQ																
Sales	-20%	-20%	51%	-3%	-10%	-12%	41%	-1%	-11%	-15%	47%	1%				
Gross profit	-26%	-21%	33%	-1%	-7%	-12%	40%	1%	-12%	-16%	47%	4%				
Operating profit	-27%	-20%	28%	1%	-8%	-11%	40%	4%	-13%	-17%	51%	5%				
Pre-tax profit	-30%	-77%	NM	1%	-12%	-16%	35%	3%	-12%	-15%	43%	5%				
Net profit	-26%	-84%	NM	-5%	-9%	-24%	52%	1%	-12%	-23%	59%	4%				
YoY																
Sales	29%	6%	-7%	-5%	7%	17%	9%	11%	9%	5%	9%	11%	3%	11%	9%	7%
Gross profit	43%	18%	-12%	-24%	-4%	8%	13%	16%	10%	5%	11%	14%	-1%	8%	10%	12%
Operating profit	54%	25%	-20%	-24%	-5%	6%	15%	18%	11%	5%	13%	15%	-2%	9%	12%	14%
Pre-tax profit	4%	-69%	4%	-26%	-6%	NM	1%	3%	3%	5%	11%	13%	-20%	16%	8%	12%
Net profit	5%	-77%	7%	-23%	-5%	NM	0%	6%	3%	4%	9%	12%	-18%	18%	8%	12%

Source: Company data, BofA Global Research estimates. P: preliminary

BofA GLOBAL RESEARCH

Exhibit 11: Summary of acronyms used in this report

Acronym

Acronym

AI	Artificial Intelligence
ASP	Average Selling Price
BOM	Bill of Materials
CPO	Co-packed Optics
ELS	External Laser source
FA	Fiber Array
FAU	Fiber Array Unit
dFAU	Detachable Fiber Array Unit
MPO	Multi-fiber Push-On
MMC	Multiport Modular Connector



Exhibit 11: Summary of acronyms used in this report

Acronym

Acronym	
MT	Mechanical Transfer
NPO	Near-packaged Optics
OE	Optical Engine
PIC	Photonic Integrated Circuit
PCB	Printed Circuit Board

Source: BofA Global Research

BofA GLOBAL RESEARCH



Price objective basis & risk

Largan Precision (LGANF)

Our PO of NT\$5,600 is based on 25x 2028E P/E. 25x is at Largan's historical peak P/E during last earnings upcycle. We believe CPO take-off from 2028 will drive another new multi-year earnings upcycle for Largan, which justifying our valuation multiple.

Downside risks are: 1) weaker than expected end-demand, which leads to pressured topline and margin on lower utilization rate, 2) more intense competition from Greater China competitors including Sunny Optical, Genius and AAC, 3) slower than expected spec upgrade, and 4) slower than expected progress at CPO.

Upside risks are: 1) better than expected end demand and faster than expected spec upgrade, 2) higher than expected ASP and market on competitors' inferior execution, 3) eased competition from key peers, and 4) faster than expected progress at CPO.

Analyst Certification

I, Robert Cheng, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	BizLink	BIZLF	3665 TT	Doris Kao
	BOE Technology Group Co., Ltd	XCJQF	000725 CH	Brad Lin
	Chenbro	CEOMF	8210 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu



APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	E Ink Holdings	PWWIF	8069 TT	Doris Kao
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppamong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	King Slide	KGSLF	2059 TT	Doris Kao
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Robert Cheng
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPGB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu

NEUTRAL

	Advantech	ADTEF	2395 TT	Robert Cheng
	Asustek	AKCPF	2357 TT	Robert Cheng
	AU Optronics	AUOTF	2409 TT	Brad Lin
	AU Optronics	AUOTY	AUOTY US	Brad Lin
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	Innolux Corporation	CMLXY	3481 TT	Brad Lin
	Lenovo Group	LNVGf	992 HK	Robert Cheng
	Lenovo Group	LNVGy	LNVGy US	Robert Cheng
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
	TCL Technology Group Corp	XTOOF	000100 CH	Brad Lin

UNDERPERFORM

	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppamong Iemkongaek, CFA, CMT
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTGF	300433 CH	Katherine Zhu



APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Lianchuang Electronic	XWOFF	002036 CH	Katherine Zhu
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Tianma	XVZLF	000050 CH	Brad Lin
	Transsion	XCINF	688036 CH	Robert Cheng

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity
Operating Margin
Earnings Growth
Free Cash Flow

Quality of Earnings

Cash Realization Ratio
Asset Replacement Ratio
Tax Rate
Net Debt-To-Equity Ratio
Interest Cover

Valuation Toolkit

Price / Earnings Ratio
Price / Book Value
Dividend Yield
Free Cash Flow Yield
Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income
Operating Profit
Expected 5 Year CAGR From Latest Actual
Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations
Capex
Tax Charge
Net Debt = Total Debt – Cash & Equivalents
EBIT

Numerator

Current Share Price
Current Share Price
Annualised Declared Cash Dividend
Cash Flow From Operations – Total Capex
EV = Current Share Price × Current Shares + Minority Equity + Net Debt +
Other LT Liabilities
Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill
Amortization
Shareholders' Equity
Sales
N/A
N/A

Denominator

Net Income
Depreciation
Pre-Tax Income
Total Equity
Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)
Shareholders' Equity / Current Basic Shares
Current Share Price
Market Cap = Current Share Price × Current Basic Shares
Sales

Basic EBIT + Depreciation + Amortization

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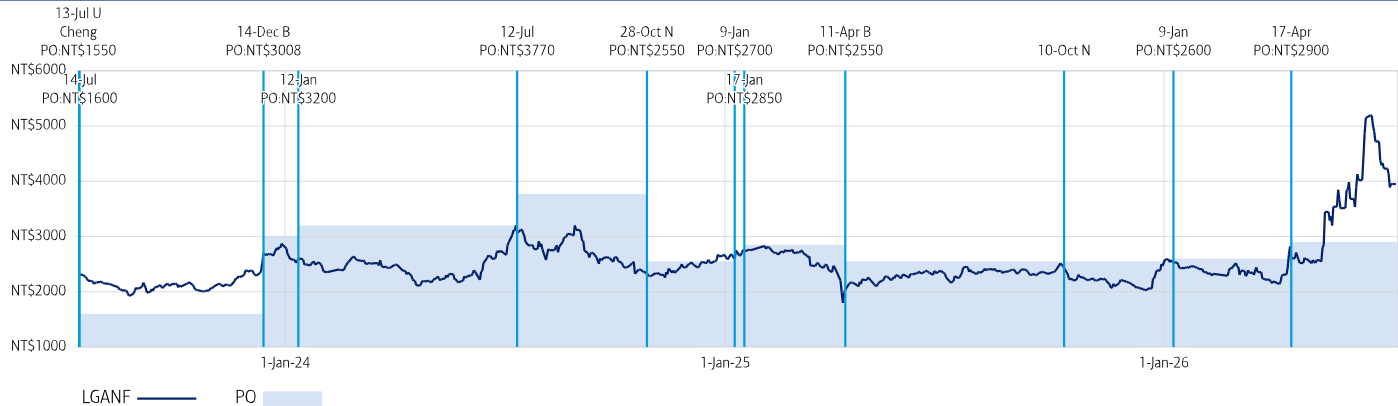
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Largan Precision (LGANF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Equity Investment Rating Distribution: Industrials/Multi-Industry Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	68	62.39%	Buy	36	52.94%
Hold	15	13.76%	Hold	7	46.67%
Sell	26	23.85%	Sell	12	46.15%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
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Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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